



CIE Level 1

Getting Started with Entrepreneurship

Topic: Finance for Startup

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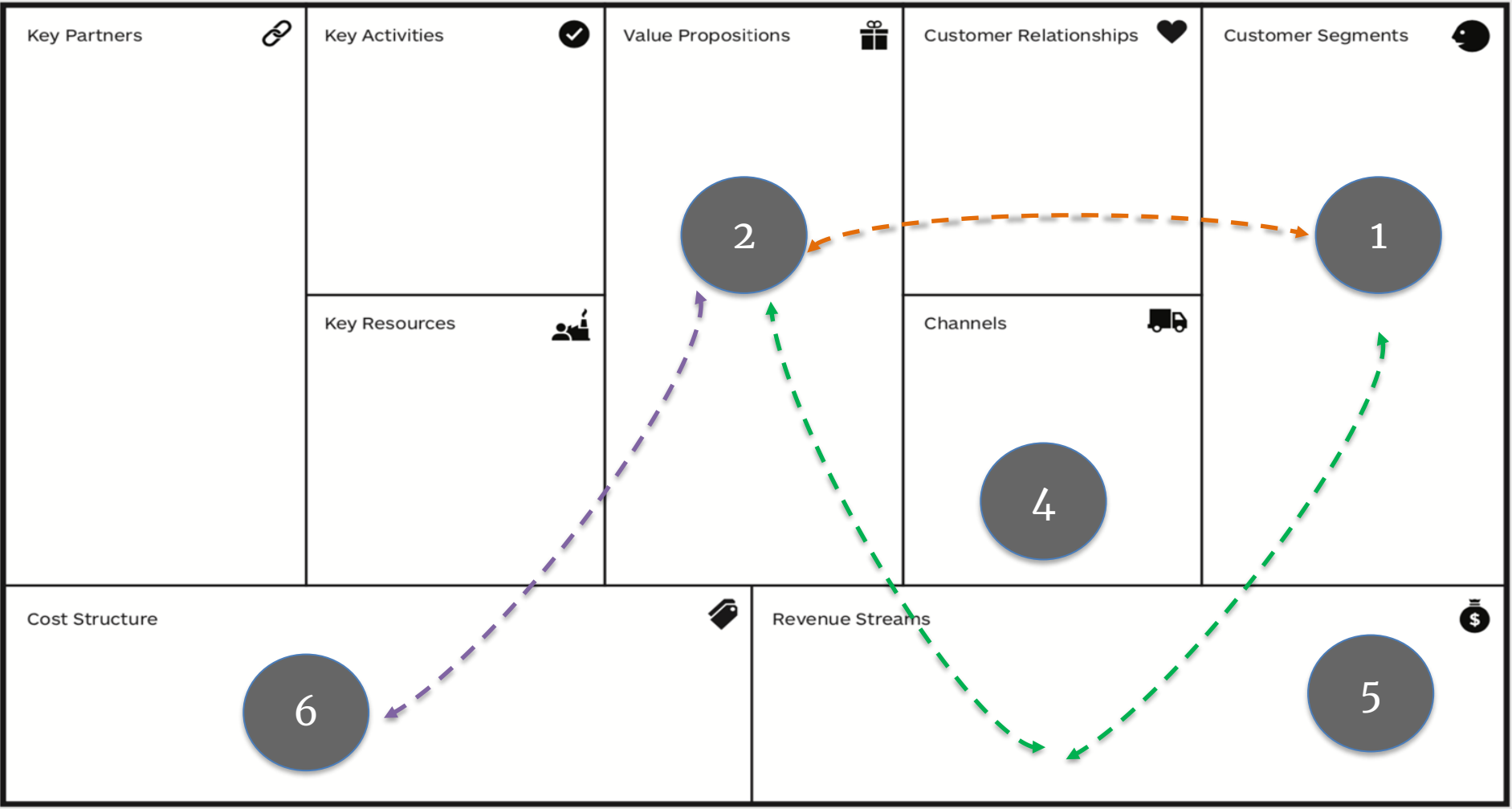
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Pre-Session Activities

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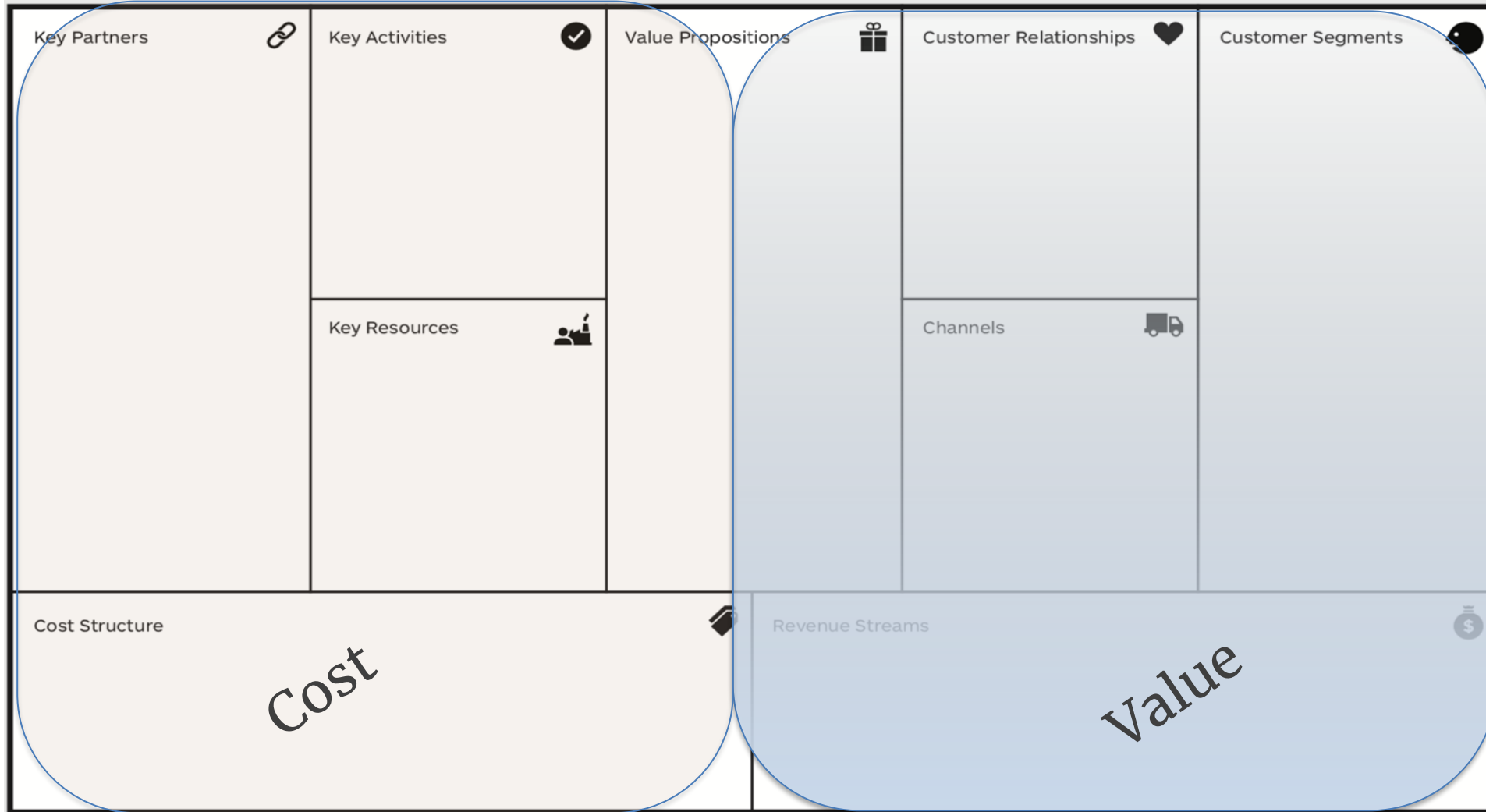
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Recap



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Recap



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Finance Basics



"Price is what you pay;
Value is what you get."

-Warren Buffett (via Benjamin Graham)

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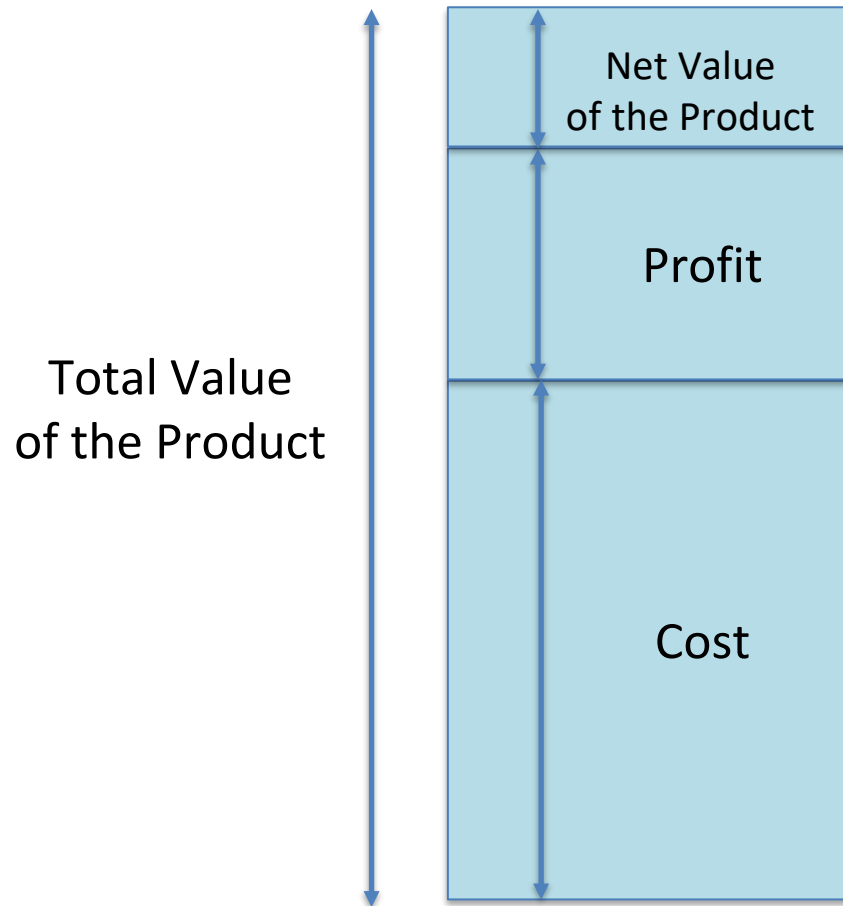
Cost, Price and Value



- **Cost:** Money value of the resources involved in producing something.
- **Price:** Money to be paid, in order to get product / service
- **Value:** is the utility of a product or service.

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Cost, Price and Value



- What is the total value of the product?
- What is the 'net value'?

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More on Value



- **Price:** Buyer → Seller
- **Cost:** Seller → Suppliers
+ Infrastructure + etc
- **Value:** Buyer alone!

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Revenue



- *Money realized from sale of product/service after deducting all returns, rebates and discounts*
- *Revenue Model*: how the firm generates revenue
- Examples of Revenue Model:
 - *Product sales, Subscription, Advertising, Transaction fee, etc*
- Aka Gross Sales, Topline, etc.

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Cost



- COGS: '*Cost of Goods Sold*'
 - *Cost of making the product alone*
- 'Other Costs'
 - *Sales & Marketing*
 - *General & Administration*
 - *R&D*
- Total Cost = COGS + 'Other Costs'

A Different way of looking at numbers...

Key questions

- What are you looking for in the numbers?
- Can an Accountant do this (instead of the entrepreneur)?
- What's an insight?

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Looking Beyond Numbers



Critical knowledge that will help you go beyond the numbers
and use finance as a tool to help you manage your company.

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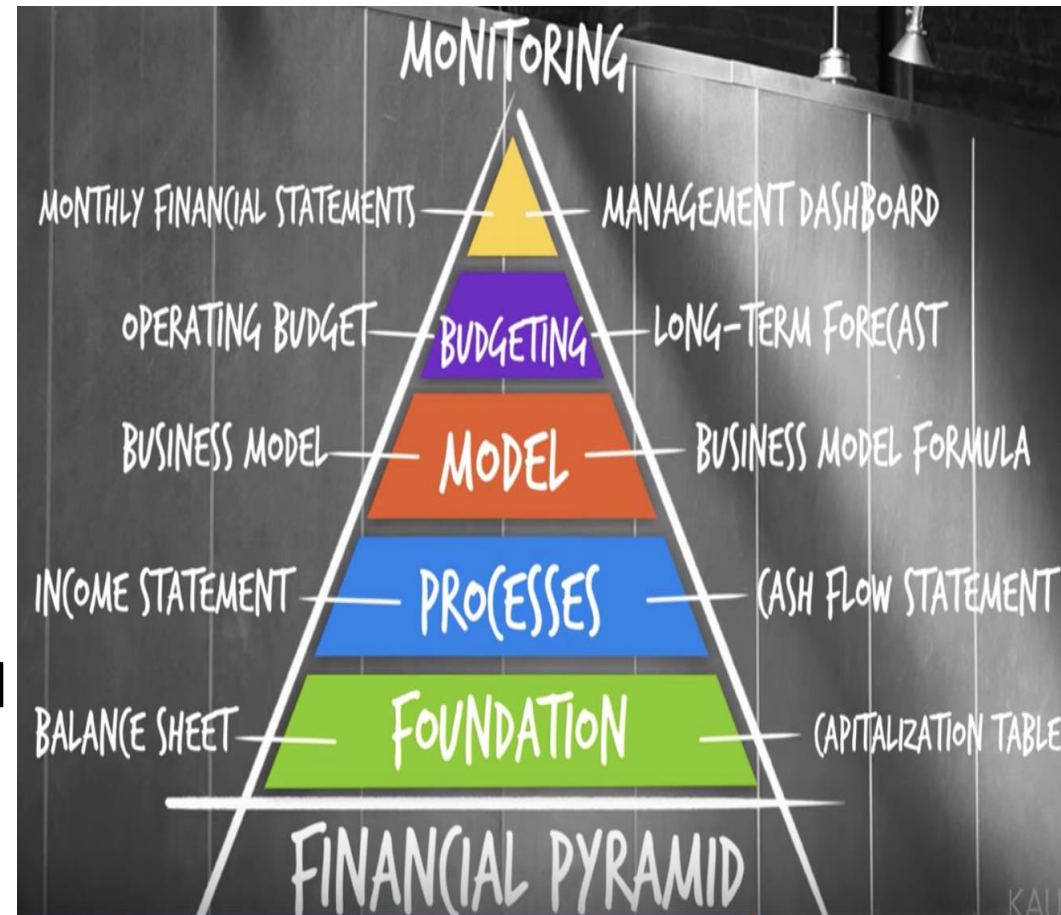
5 Elements of Startup Finance

What do numbers mean for my business?

Do I understand how numbers are associated with my business model?

Does my financial knowledge extend beyond the basics?

[Link](#)



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Business Model Formula

How do I put numbers to my business model?

What is our competitive advantage?

What are we going to have to spend to keep our competitive advantage?

[Link](#)



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Post Session Brief

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Activity (Team) - Revenue Streams



- Pick the right revenue stream for your startup:
 - Subscription, Usage, One-time (transaction cost), etc
- Estimate yearly revenue stream(s) for your startup for first 3 years
- To start with, list the underlying assumptions. Estimate/calculate below (use MS Excel if needed):
 - A. Number of units / users
 - B. Price per unit / user **per unit time (hr/day/wk/etc)**
 - C. At the simplest level, Revenue is **A*B** per unit time
 - D. From C, you can calculate **revenue per month**
 - E. From D, you can calculate **revenue per year** (for Year1).
 - F. If any assumptions change (# of users, units, price, etc) you can calculate revenue similarly for Year2 & Year3)

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Activity (Team) - Cost



- Estimate yearly cost for your startup for first 3 years
- To start with, list the underlying assumptions
- Estimate/calculate below (use MS Excel if needed):
 - A. Operational costs
 - i. **Physical infrastructure** (rental, etc), **human resources** (salary for people involved in Key Activities), **Fees paid to Key Partners**, **Information Technology** (laptop, etc), etc
 - B. Product/Service cost
 - i. Cost incurred in **building the product** (unit cost * # of units) or delivering the service
 - ii. Cost incurred in **delivering the product** (channel, distribution, etc)
 - iii. Marketing costs associated with above
 - C. Total Cost = A + B

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Activity (Team) - Update BMC



- Update the BMC with approx. figures for **Revenue** and **Cost**
- By now, you should have a good handle on
 - **Value Proposition**
 - **Customer Segments**
 - **Customer Relationship & Channel**
 - **Revenue and Cost**
- Note: Above are assumptions for now
 - They need to be validated (if you can, that is great but it is optional for L1)



THANK YOU

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